

Atchison Active Australian Shares SMA

31 October 2024

PORTFOLIO PERFORMANCE

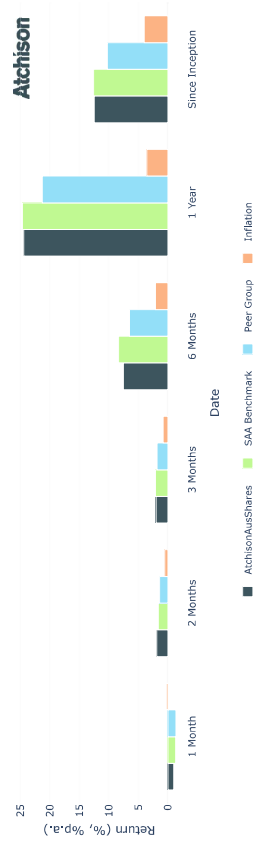
The Atchison Active Australian Shares SMA delivered -1.0% for the month, and 2.0% over the quarter.

Over the last 12 months, the Atchison Active Australian Shares SMA delivered 24.4%, significantly beating Inflation by 20.8%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Australian Shares SMA has significantly outperformed over the last 12 months.

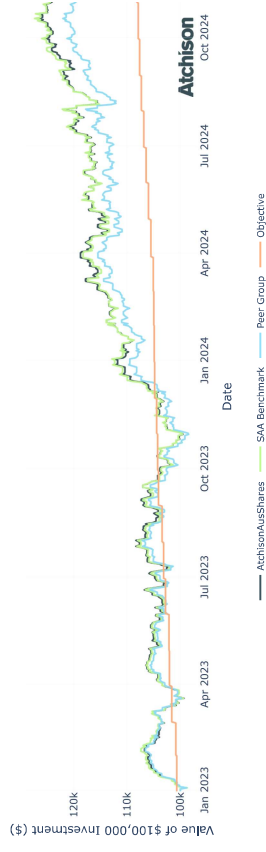
Since inception of the strategy, the Atchison Active Australian Shares SMA has delivered 12.5%, significantly beating Inflation by 8.5%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Australian Shares SMA has significantly outperformed since inception of the strategy.

All performance metrics listed above are net of appointed investment management fees but before tax.

Returns vs Benchmarks



	1 Month	2 Months	3 Months	6 Months	1 Year	Since Inception
AchisonAusShares	-0.99	1.86	2.01	7.51	24.41	12.47
SAA Benchmark	-1.31	1.61	2.08	8.36	24.65	12.61
Peer Group	-1.39	1.41	1.81	6.47	21.28	10.25
Inflation	0.25	0.50	0.80	2.08	3.57	3.99

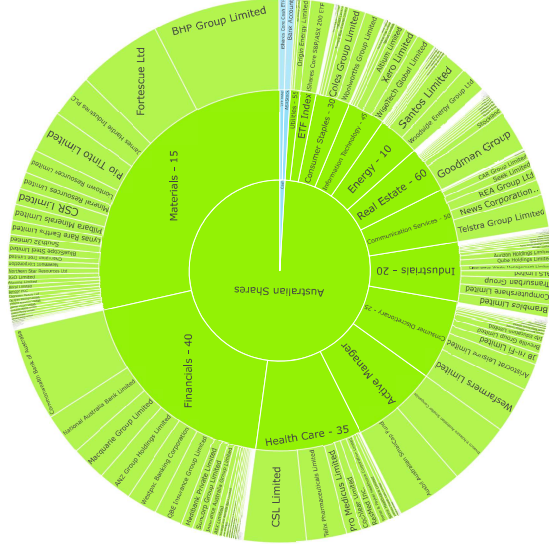


PORTFOLIO COMMENTARY

- On a weighted basis, the largest holding contributor to the portfolio outcome has been iShares Core S&P/ASX 200 ETF
- The holding that contributed the least to portfolio return was Australian Eagle Trust
- The current holding with the highest absolute return has been Austral Australian SmallCap Fund
- Whilst the current holding with the lowest absolute return has been Australian Eagle Trust

PORTFOLIO CONSTRUCTION

Portfolio Construction - Look Through Exposures



Portfolio vs Benchmark Weights by Industry Segment (GICS level 1)

MARKET OVERVIEW - October 2024

- In local currency terms, Australian equities returned -1.1%, outperforming global equities by +0.35%. Japan's Nikkei was the best performing developed market returning +3.1% in October.
- Australia's annual pace of inflation in the third quarter slowed to 2.8% from 3.8% thanks to lower electricity bill rebates and lower petrol prices. RBA's next meets on 8 December.
- RBA still wants further evidence of falling prices before cutting interest rates, possibly in early 2025. December quarter inflation will be out in January, and first meeting of 2025 will be in February.
- Australian economic data releases over the last week suggest the economy is continuing to muddle along with weak growth. Retail sales rose a softer than expected 0.1% in September after warmer than normal weather.
- Home building approvals rose 4.4% in September which was stronger than expected. Units appear to be bouncing sideways, but houses are trending up. The rising trend in approvals is good news.
- US economic data over the month was mixed, September GDP came in at a solid 2.8% annualised, with strong domestic final sales growth of 3% annualised and consumer spending growth came in at a stellar 3.7% annualised.
- US consumer confidence also rose, remaining above its long run average, however payrolls fell (possibly due hurricanes and a Boeing strike), and most forward-looking labour indicators are continuing to trend softer.
- Eurozone GDP growth grew more than expected in the September quarter with a rise of 0.4% qoq or 0.9% yoy. Spain's economy was up 0.8% qoq, France up 0.4% qoq, Germany 0.2% qoq but Italy's remained flat.
- Economic confidence across the Eurozone remains subdued consistent with recently released business surveys.
- Eurozone CPI inflation rose to 2% yoy which is at target, with core inflation flat at 2.7% yoy, which is likely to keep the ECB gradual and on track to cut rates by 0.25% in December, and not by 0.5%.
- The Bank of England and Swedish central bank are expected to cut by 0.25% and 0.5% respectively, taking their policy rates to 4.75% and 2.75% with both likely to provide dovish guidance.
- Chinese authorities are demanding wealthy individuals and companies double-check their taxes for unpaid liabilities, as local governments hunt for revenue to refill coffers depleted by a property slump.
- Australian inflation expected to remain above target until 2026, influencing bond market adjustments.
- US 10-year Treasury yield fluctuated, ending around 4.3% amid economic and fiscal uncertainty.

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